

OKLO · FY2025 Q4

Oklo Inc · 56 turns · 16 participants

CAST (IN ORDER OF APPEARANCE)**Operator**

Operator

Jake DeWitt

Co-founder and Chief Executive Officer

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Sameer Joshi

Analyst, H.C. Wainwright & Co.

Vikram Begri

Analyst, Citi

OPERATOR Operator

All lines have been placed on mute to prevent any background noise. After the speaker's remarks, there will be a question and answer session. If you would like to ask a question at that time, simply press star, then the number one on your telephone keypad. And if you'd like to withdraw that question, again, press star one. Thank you. I would now like to turn the conference over to Sam Down, Senior Director of Investor Relations. Sam, please go ahead.

SAM DOAN Senior Director of Investor Relations

Good afternoon, and thank you for joining Okla's fourth quarter and full year 2025 company update. I'm Sam Doan, Okla's Senior Director of Investor Relations. Joining me today are Jake DeWitt, Okla's co-founder and Chief Executive Officer, and Craig Bellmer, our Chief Financial Officer. After my opening remarks and the forward-looking statement disclosure, Jake will walk through the business update and strategic progress, and Craig will cover our financial results. Our remarks today include forward-looking statements which are subject to risks and uncertainties that could cause actual results to differ materially from those discussed today. We encourage you to review the forward-looking statements disclosure included in our supplemental slides. Additional information on relevant risk factors is described in our filings with the SEC. We undertake no obligation to update forward-looking statements except as required by law. With that, I'll turn the call over to Jake.

JAKE DEWITT Co-founder and Chief Executive Officer

Jake? Thanks, Sam. 2025 was a step change year for Oklo. We transitioned from product development into active project deployment across all of our business units. During the year, we broke ground on our first Aurora powerhouse at Idaho National Laboratory under the DOE's Reactor Pilot Program, advanced key commercial partnerships across the value chain, including our early 2026 prepayment agreement with Meta to support plans for 1.2 gigawatt power campus, and began initial construction activities on A3F at INL. We also completed the acquisition of Atomic Alchemy

and made substantial construction progress at Groves in Texas, our first radioisotope test reactor. In fuel, we completed fast spectrum plutonium criticality experiments, supporting using plutonium as a bridge fuel. We announced the first phase of our advanced fuel center in Tennessee, and we progressed licensing activities across multiple assets. Taken together, 2025 was the year Oakload turned our platform strategy into deployed projects, while also strengthening the balance sheet to fund that execution and our long-term growth. Before I go deeper into execution, it is also important to understand how much the external environment shifted over the last two years. In 2024 and 2025, US nuclear policy moved toward a more execution-oriented posture across licensing, asset deployment, fuel supply, and capital formation. You can see the four main pillars here. First, executive actions and regulatory direction focused on accelerating licensing and enabling first-of-a-kind projects. Second, federal support mechanisms, including tax credits, loan guarantees, and direct financing tools are improving the pathway to fund projects. Third, fuel sovereignty measures are pushing domestic capability across the conversion, enrichment, HALU, and strategic fuel materials. And fourth, implementation of the Advance Act is aimed at reducing friction in licensing and enabling more efficient deployment pathways. The policy backdrop has shifted from a light tailwind to a very strong tailwind for the nuclear sector, and Oklo is positioned to move in that environment. Going forward, we will talk about Oklo through three integrated business units, power, fuel, and isotopes that together form a unique vertically integrated nuclear platform. Power is the clean baseload power and heat from our sodium fast reactors that can utilize a broad spectrum of fuels. Fuel provides Oklo with an integrated pathway to produce fuel required for our powerhouses, as well as for our peers and competitors. This de-risks deployment, strengthens long-term supply, and unlocks nuclear energy abundance at scale through fuel recycling. And isotopes expand the platform into high value products and services with strategic domestic importance that are natural co-products from our other business units. The key point is that integration across the value chain is designed to unlock multiple complementary value streams over time. And first is power. We are building the power business unit because demand for firm, reliable power is growing quickly across the country. From data centers to industrial customers to government applications, our customers need clean, dependable baseload power, not intermittent supply. Aurora powerhouses are expected to provide that kind of reliable baseload power, and our commercial model is built around long-term offtake agreements. Power is also foundational to the rest of our business platform. Power deployments create the demand that can scale our field production and fabrication capabilities over time. And first deployments establish reference assets that improve repeatability for future campuses. Our experience building our power delivery capability has eliminated key opportunities in other parts of the ecosystem that we are leaning into building and scaling. So power is both a near-term customer solution and a foundation for broader and platform scalability. Fuel is the second business unit, and it is one of the most important strategic parts of what we are building. Fuel availability remains one of the most significant rate limiters for near nuclear deployment. From inception, we have been building fuel capabilities to support our own deployment and broader advanced nuclear deployment. That starts with fabrication for us. Fuel fabrication converts raw fuel material into reactor-ready fuel forms. It is how we support Oklo reactors while also creating the potential to provide services to third-party reactors over time, either through directly fabricating fuel for them or hosting their fabrication lines in our factories. Oklahoma is also exploring opportunities to develop modern deconversion processes to streamline efficiencies, including what we recently announced with Centris. This step has traditionally occurred at the fuel fabrication facilities themselves. But as we look at the future of nuclear fuel manufacturing, it makes a lot more sense to locate this with the enrichment facility. The second big part of our fuel strategy is recycling. Recycling can recover uranium for reuse, can recover and produce transuranic bearing material that can be used as fuel in advanced reactors, It can enable high-value isotope production, and it can provide used fuel management solutions through recycling pathways. So fuel is both a deployment enabler in the near term and a scalable fuel cycle business over the long term. And the third business unit is isotopes. We are building this business because there are attractive high value in markets across healthcare, industrial space, and defense applications. And

because strategic domestic supply for many isotopes remains constrained. From life-saving therapies to the long duration power supplies that have powered human space exploration to the future of remote monitoring and sensing for security purposes, isotopes are key material for humankind's future. We see those isotope opportunities as complementary to our power and fuel business units that can produce isotope co-products that the isotope business unit can then package and sell. At the same time, we are pursuing purpose-built production using reactors and facilities optimized for isotope production. And we see a services revenue opportunity through irradiation for advanced nuclear technology research and development, defense research and development, semiconductor doping and hardening, and other applications. Taken together, Isotopes expands the platform into high-value domestic supply for critical uses while strengthening the economics of the broader business. This slide shows how the three business units connect. In the conventional nuclear value chain, mining, enrichment, power generation, and long-term waste storage are fragmented across different parties. Our strategy is to build a more integrated platform that links power production, fuel fabrication, fuel recycling, and isotope production. When you can fabricate fuel into reactor-ready forms and recycle materials over time, you move from a one-way fuel cycle into a repeatable loop. That improves long-term fuel optionality, supports supply resilience, and can unlock additional products across the value chain. It also creates new value streams. Recovered materials can support radioisotope production, which connects directly into our isotope business. So the objective is not just to deploy powerhouses. It is to build an integrated platform where power is an anchor product, fuel is an enabling system, and isotopes extend the platform into high-value products and services. And the U.S. is uniquely positioned for a strategy like ours. The U.S. has generated roughly 20 percent of its electricity from nuclear power over the last 30-plus years, while producing a very small physical volume of used nuclear fuel. More than 90,000 metric tons of U.S. used nuclear fuel fits on a football field about 10 meters high. That material is often described only as waste, but in reality, it contains enormous energy potential. The energy potential in U.S. used nuclear fuel is comparable in scale to the sum total of major global oil reserves. This is what makes recycling and reuse so strategically important. Used nuclear fuel is not just a liability to manage, it is also a major potential domestic energy resource if the infrastructure exists to put it back to work. That sets up the next slide, which is about one of the mechanisms now emerging to help build that broader lifecycle infrastructure. The U.S. already has a major strategic energy reserve in used nuclear fuel, but realizing more of that value over time depends on building the infrastructure, capabilities, and coordination needed to put it to work. That is why the DOE's Nuclear Life Cycle Innovation Campus Program is so important. DOE has framed this as a first step toward potential federal-state partnerships to modernize the full nuclear fuel cycle, using regional campus models that can co-locate key parts of the life cycle. As this model advances, it could reduce development friction, improve execution timelines, and support more efficient investment across fuel, recycling, power, and isotope-related infrastructure. As importantly, employing used nuclear fuel as a resource instead of treating it as a liability could change the power outlook for the U.S. over time, supporting advanced reactor fuel supply for generations, strengthening domestic radioisotope production, and improving long-term used fuel management outcomes. From our standpoint, this matters because it reflects a more integrated model for building nuclear infrastructure in the United States, which is closely aligned with the strategy we are executing across our business units. We continue to be very supportive of state responses to the RFI and have started working with multiple states as they evaluate potential campus proposals. These efforts form the foundations for ensuring energy affordability and re-industrializing the nation. And this is where the strategy becomes tangible. Across power, fuel, and isotopes, we are already building assets that support a more integrated nuclear development model to unlock nuclear energy abundance. On the power side, we have Aurora INL, our first Aurora powerhouse at Idaho National Laboratory and Aurora, Ohio, our planned clean energy campus in Pike County, tied to our partnership with Meta. On the fuel side, we have A3F at INL, our first fuel fabrication facility, and our advanced fuel center in Tennessee, which is our first phase of used nuclear fuel recycling infrastructure. And in isotopes, we are building Groves, our radioisotope test reactor in the Idaho Radiochemistry

Laboratory, which supports isotope processing and scale-up. So when we say vertically integrated, this is what we mean. Multiple real assets now moving forward across all three business units. Since our last company update, we have made meaningful progress across all aspects of the company. In power, Aurora INL executed its DOE other transaction agreement under the Reactor Pilot Program, received DOE approval of the Nuclear Safety Design Agreement, continued construction activities, including blasting, and signed with Siemens Energy for the power conversion system. We also signed the META prepayment agreement in support of up to 1.2 gigawatts at Aurora, Ohio. In fuel, A3F received DOE approval of both the NSDA and the preliminary documented safety analysis, and it was selected under the DOE Advanced Nuclear Fuel Line Pilot Program. In recycling, we signed an agreement with TVA to explore fuel recycling, initiated site pre-work on our flagship recycling facility, completed NRC pre-application engagement, initiated a rolling NRC readiness review, and were selected for DOE recycling R&D funding. We also completed a fast spectrum plutonium criticality experiment and announced the joint venture initiative with Centris around deconversion. And in isotopes, Groves executed its DOE OTA, received NSDA approval, submitted its PDSA, and continued construction toward a July 4th criticality target. Separately, the Idaho Radiochemistry Laboratory obtained its NRC materials license. So this is execution across multiple assets, multiple licensing pathways, and multiple business units, all moving forward in parallel. Aurora INL is advancing on a DOE first authorization pathway. We've already executed the under reactor pilot program and received approval of the nuclear safety design agreement. Those are important because the formally brings the project into the authorization pathway and the locks in the safety and regulatory framework for the project. The next DOE milestones are the preliminary documented safety analysis, the documented safety analysis, and then the readiness review and startup approval. Each of those steps progressively aligns DOE and Oklo on the safety basis from final design and construction through startup and operations. The significance here is that the DOE pathway allows us to keep advancing construction, procurement, and system integration activities in parallel as the project moves forward. Alongside the authorization work, Aurora INL is also advancing on execution and build readiness. On site development, we completed site characterization at INL. Site preparation is underway, including blasting and construction activities are progressing in line with the project plan. On procurement and supply chain, we have received responses for the majority of identified long lead component requests for proposal. Supplier down selection is underway, and all major equipment now has vendors under contract. That includes the cement energy contract for the power conversion system, active supply chain agreements for reactor module components, and active vendor contracts for all major refueling equipment. Sorora INL is moving forward on both the physical site side and the supply chain side, which is what we want to see at this stage of our first deployment. And we are learning a lot on the way. Next is Aurora, Ohio, where the key update is our agreement with Meta in support of a 1.2 gigawatt Aurora campus. The agreement advances plans for phase deployment with an initial phase of 150 megawatts targeted around 2030. And it is supported by prepayment for power structure designed to improve project certainty and support phase 1 development. Importantly, Oklo expects to use funds from the prepayment agreement to support fuel procurement. We also own approximately 206 acres in Pike County, Ohio, which gives us a site to advance campus development in parallel with commercialization and permitting work. So this is an example of customer demand, commercial structure, site control and fuel planning all starting to line up around a real deployment opportunity. Fuel availability is one of the key gating items for advanced nuclear deployment, so our fuel strategy is deliberately built around flexibility, supply optionality, and execution readiness. As this slide shows, we are addressing that through strategic enablers, fuel supply pathways, and strategic fuel partnerships. On the enabler side, our fast reactor technology is designed to be versatile across a wide range of fuel sources, and our fabrication capabilities are intended to convert different feed supplies into reactor-ready fuel. Over time, recycling can turn used fuel into a more repeatable strategic fuel supply. Oklo is pursuing a differentiated strategy here to help accelerate deployment even in the face of conventional supply chain bottlenecks. And on supply pathways, we are working with DOE-managed materials. HALU from conventional and advanced enrichment

providers and recycled fuel supported through our own recycling and fabrication capabilities. And in partnerships, we are working with DOE building relationships around enrichment and deconversion and developing opportunities around recycled fuel. The goal is to solve for near, mid, and long-term scale while maintaining flexibility as the market evolves. A3F has a very specific role in our deployment strategy. It is a purpose-built facility to fabricate fuel for Aurora INL using an existing building at INL where Oklo is installing and operating the fabrication equipment. On the authorization side, A3F was selected under DOE's Advanced Nuclear Fuel Line pilot program, which is intended to support accelerated licensing and construction of advanced fuel fabrication capabilities. Execution is already underway. Initial construction activities have begun, and A3F is advancing in parallel with Aurora INL so that fuel fabrication does not become a deployment gating constraint. We have also received DOE approval of both the NSDA and the PDSA for A3F, which enables us to move forward with final design and construction. And notably, Oklo's PDSA was the first facility approved under DOE's Fuel Line Pilot Program, which is an important validation of the pathway we are using. Next is the Tennessee Advanced Fuel Center, which is our first major step toward building long-term recycling capability. On-site and development progress, we completed initial geotechnical surveys and soil borings at the Tennessee site and initiated site development activities. On regulatory and licensing progress, we completed our planned NRC pre-application engagement and initiated a rolling NRC readiness review in advance of a future license application. And on fuel supply and partnerships, we were selected for DOE recycling research and development funding. The broader point is that this project is advancing on the site regulatory and funding fronts at the same time, which is how we intend to move recycling from concept into real long term fuel supply infrastructure. Staying on fuel, this slide is about upstream fuel infrastructure and specifically uranium deconversion. We announced the potential joint venture with Centris focused on deconversion, building on our prior relationship. What is strategically compelling is the intended location. Centris' site in Pike County, Ohio, co-located with Centris' enrichment operations and adjacent to our planned 1.2 gigawatt power campus. Deconversion is a critical upstream step in the domestic fuel supply chain, and co-location has the potential to improve logistics, reduce friction, and strengthen both cost and supply resilience over time. It is important to note that these deconversion capabilities can support Oklo's fuel needs and the fuel needs of other reactors and reactor types, including light water reactors. So this is another example of how we are looking to expand fuel infrastructure alongside fabrication and recycling, while the current focus remains on initial venture structuring and project planning. Turning to isotopes, the Idaho Radiochemistry Laboratory is an important near-term asset and example of timely execution. We obtained the NRC materials license for the facility, which is a key operational milestone. The facility is expected to make first revenue this year, which also makes it one of the more near-term revenue-oriented pieces of our broader business. Strategically, the lab has the potential to provide the foundation for developing our isotope processing methods and then scaling them up to support future VIPER facilities. So this lab is well on its way to be both a practical operating asset and a foundational capability for scaling the isotopes business over time. Now to Groves, our first radioisotope test reactor deployment. Groves is moving through a DOE-first authorization pathway, and we have already completed two important steps, executing the OTA under the reactor pilot program and receiving approval of the NSDA. Those matter because the OTA formally brings the project into the DOE pathway, while the NSDA locks in the safety and regulatory framework for the project. The next milestones are approval of the PDSA, which has now been submitted, approval of the DSA, and then the readiness review and startup approval. Groves is progressing through a structured DOE first pathway that's designed to enable full project build out and position the facility for startup and operations. And rather than just talk about it, I want to show you what we've executed. We'll pause here for a short video from the Grove site, and then I'll come back and walk through the key build milestones. Now that you've seen the progress for the Groves project, here's where we are on the remaining path to criticality. Site development and the structure were completed in 5 months. The reactor tank is installed, fuel has been procured, and interior mechanical, electrical, and plumbing installation is in progress. Auxiliary equipment is also in various stages of procurement. From here the

focus is on finishing the remaining construction activities, final installation of reactor equipment, integrated system testing, and fuel delivery. The current execution target is criticality by July 4th. We and others are showing nuclear assets can be built and turned on in less than 10 months. These are real examples that shatter the widely held belief that nuclear is slow. Instead, we are demonstrating that new nuclear can deploy at pace. Groves is progressing rapidly. The structure is up, major components are in place, and the remaining work is the execution closeout and commissioning path to criticality. And one of the exciting things about this project is that it is fully executing a commercially viable sourcing strategy across all components and not relying on preexisting or non scalable or non viable components and capabilities. The lessons we are learning are teaching us a lot on the way to full commercial operations. Before moving on, it is worth taking a step back and explaining what Groves actually is. Groves is our first radioisotope test reactor, and strategically it serves as a test platform for Atomic Alchemy's production-scale VIPER reactor platform. It is named in honor of General Leslie Groves, who directed the Manhattan Project. From a design standpoint, it is a pool-type, water-cooled, non-pressurized reactor built for thermal neutron irradiation using pressurized water reactor fuel bundles with low enriched uranium fuel. Why that matters is that Groves is not just a single asset. It is designed to give us practical experience across design, manufacturing, procurement, construction, installation, and ultimately operations. The value here is both near-term and long-term. Near-term in getting this first asset built and operating, and long-term in informing how future isotope production assets can be deployed and operated. And one important point across the company is that these assets are not all following the same licensing path. We are taking a tailored approach, depending on the asset, the site, and the development objective. For certain first-of-a-kind assets and DOE site projects, we are pursuing DOE authorization. That includes Aurora INL, A3F, and Groves. For broader commercial deployment and other non-DOE assets, we are pursuing the NRC pathway. That includes Aurora, Ohio, the Advanced Fuel Center in Tennessee, and the Idaho Radiochemistry Laboratory, which received its NRC license earlier this year. The key takeaway is that we are not trying to force every asset through a single framework. We are using the pathway that best fits the specific asset and stage of development while also allowing lessons from early DOE-authorized assets to inform future NRC-licensed deployments. With that, I'll turn it over to Craig for the financial update. Craig?

CRAIG BELLMER Chief Financial Officer

Thanks, Jake. 2025 was a strong year for the company as we significantly strengthened our balance sheet such that capital can act as an enabler of the strategic agenda Jake has just presented. On a full year basis, Oklo has a loss from operations of \$139.3 million, which was primarily driven by payroll, general business expenses, and professional fees associated with the capital market and asset deployment activities. The operating loss also included non-cash stock-based compensation expense of \$41.8 million, which was impacted by the increase in the firm share price during the year. Our loss before income taxes was \$110.2 million, which included the benefit of interest and dividend income of \$29.1 million from the investment in Mark Middle Securities. Additionally, on a full year basis, our cash used in operating activities was \$82.2 million. This number is inclusive of approximately \$13 million of prepaid capital project expense that will ultimately become property, plant, and equipment and run through our cash flows for investing activities. When adjusting for this figure, we reached \$69.2 million in adjusted cash used in operating activities, which was within our guidance we provided for 2025 cash used in operating activities of \$65 to \$80 million, demonstrating disciplined management of the company's cash reserves while also capitalizing on the tailwinds to accelerate growth opportunities. The company intends to maintain a disciplined approach to cash management and capital allocation in 2026. We are raising our guidance for cash used in operating activities from \$65 to \$80 million in 2025 to 80 million to \$100 million in 2026. This measured increase will enable the company to expand headcount across its business units and execute on its business plans. As the company progresses asset deployments, we expect to increase our investment into projects across all three of our business units. We expect cash used in

investing activities to range between 350 million and \$450 million in 2026. This level of spin looks to drive progression of our strategy across all three business units, including powerhouse deployments at both Idaho National Labs and future power projects at locations such as Pike County, Ohio. Fuel development for both our first powerhouse in Idaho, as well as progressing potential fuel projects that could utilize halo, plutonium, or recycled transuranic fuel pathways. Isotope project for both Groves in Texas and potential projects in other locations and other uses to support the overall corporation. OKLO ended 2025 with cash and marketable securities of \$1.4 billion. During the first month of 2026, we also raised an additional \$1.182 billion net of fees, completing our \$1.5 billion ATM program. This financing provides OKLO with a strong balance sheet leaving the company well positioned to benefit from ongoing policy and regulatory tailwinds and to execute on our business plans in 2026 and beyond. Operator, we are now ready for questions.

OPERATOR Operator

Thank you. If you would like to ask a question, please press star 1 on your telephone keypad to raise your hand and join the queue. And if you'd like to withdraw that question, again, press star 1. We also ask that you limit yourself to one question and one follow-up. For any additional questions, please re-queue. And your first question comes from Brian Lee with Goldman Sachs. Please go ahead.

BRIAN LEE Analyst, Goldman Sachs

Hey, guys. Good afternoon. Thanks for taking the questions. I appreciate all the updates here. Lots going on. Excuse me. Maybe just first one. You mentioned a lot of... progress toward commercialization. I know there's a lot of focus around kind of the pipeline and customer status. Jake, can you maybe speak to where that sits today? Any new additions or conversion into binding agreements and any incremental visibility into more of that happening in 2026?

CRAIG BELLMER Chief Financial Officer

Hey, Brian, it's Craig. I'm not exactly sure why, but Jake just dropped off our line. I don't think it was because of the question, but I would say that, you know, clearly META was an important anchor point towards that commercialization progress, as you mentioned. And kind of based on that, you know, we continue to have conversations not only with Meta but with other potential customers, both those we've announced and other ones that we're continuing to progress. But really, it is important that we think that, you know, Meta being an important anchor customer for us and the fact that we can do more not only in the Ohio location, but also with some of our kind of behind the meter on campus customers. And not only in the data center space, but there's a lot of work going on with US military, predominantly in Alaska, but not limited to there, as well as other industrial customers. And it does look like Jake's jumped back on. Jake, I went ahead and answered the question since I think you got disconnected.

JAKE DEWITT Co-founder and Chief Executive Officer

Yeah, it's perfect. I would say, I think at the end of the day, you know, there's a pretty healthy pipeline that continues to kind of grow in different places. And I think one of the dynamics that's important is having, you know, Meta as one of the kind of basically lead customer helps others want to come follow and kind of repeat that because sometimes finding the first customer is the biggest hurdle to get into. It creates a pretty powerful dynamic. And I think on top of that, like the locationing and how we've built the strategy around, you know, where we see a lot of opportunity in Ohio is going to continue to kind of grow and scale with us.

BRIAN LEE Analyst, Goldman Sachs

Yeah, fair enough. And then just a second question on the CapEx guidance here. The \$350 to \$450 million in 2026, it's a pretty meaningful pickup. Again, lots going on, and it seems like some areas accelerating. Can you maybe just

provide a breakdown of where that CapEx is being allocated? You mentioned a couple different locations. And then how should we think about the cadence into 2027 and future years off of this level? And then maybe just curious how much of the capex being allocated to the meta-Piketon site in Ohio. Thank you, guys.

CRAIG BELLMER Chief Financial Officer

Yeah, so Brian, I'm not going to provide a kind of a business unit by business unit or project by project breakdown at this point. And part of that is, you know, we're still doing a lot of work kind of refining cost estimates for certain projects as well as kind of progressing procurement activities across those projects. And it kind of feels like with where we are commercially, it would be good to kind of let those progress before throwing projects. project bogeys out there as we're progressing procurement strategies. But that being said, it's progressing things across all three business units. But clearly, the Idaho project is an important piece of that spend, just given the criticality of giving that first power project up and off the ground. But we are also starting some preliminary work in places like Ohio for the metapowerhouses. And there's also quite a bit of work that's underway in recycling for the potential project in Tennessee, things we're doing to get isotope projects off the ground. And there's also some scoping capex available for some of those fuel projects that Jake mentioned across HALU, plutonium, and transuranic fuels. In terms of, you know, 26 to 27, you know, I think, you know, given the project pace of delivery, you know, I do think that we'll, you know, continue to see CapEx that, you know, will be, you know, at those levels. But it's really just a reflection of multiple projects going on in multiple dimensions across all three business units.

JAKE DEWITT Co-founder and Chief Executive Officer

Yeah, and I'll just echo. I think that's an important part about the positioning we have and also, like, the, you know... frankly, the ability to move more quickly and scale into the opportunity space as it is here and kind of set the direction and set ourselves up for a very long-term success by flexing into all of that is, I think, a very important thing to be doing, which is great that we're in the position to do it.

OPERATOR Operator

Your next question comes from the line of Dimple Gassai with Bank of America. Please go ahead.

DIMPLE GASSAI Analyst, Bank of America

Good evening. Appreciate you taking the question here, Tim. Just a question on the regulatory strategy here, right? You know, can you give us a status update on the COLA timing and the PDC topical report review? Like, how do you sequence the DOE authorization at INL with future NRC licensing for subsequent sites? And on the same topic, did, you know, the government shutdown at the end of last year, and some of the staffing constraints that we heard of at the DOE and NRC move any internal licensing, you know, timelines or anything, and does this change the schedule at all in terms of deployment or filings or anything? That's the first question. Thank you.

JAKE DEWITT Co-founder and Chief Executive Officer

Yeah, I think, I appreciate the question. There's a couple things in regulatory that are important. I think there's like, look, there's still, I think sometimes some confusion about DOE authorization, recency licensing, and how these things all fit together. The key thing is DOE authorization allows us to do the most important thing, which is build, which is learned by building now in a faster path, which is what we just talked about and shared a lot of information on. The progress we've been able to make on the ore plant wouldn't have happened without that pathway going forward. And in many ways, arguably, this is the way the policies were set up a long time ago. And it dates back even, you know, even a little more recently, but still some time ago. Justin Delacruz- Back in 2018 there's the bill time to pass into law and finance law. Justin Delacruz- called the nuclear nuclear energy innovation capability act and

that's at the stage for. Justin Delacruz- Using Department of Energy capabilities and resources, including the regulatory authorization side to support kind of the first of the kind of build because do we have just a wider range of regulatory experience and flexibility. Justin Delacruz- And now, you know with the executive orders they directed a pretty clear. approach and prioritization of DOE to leverage that and build the capabilities to do that, which frankly, they largely already had. It just said, put them to use to support these things, which is amazing because it's completely shattered the paradigms of the past. It's really illuminated a lot of the significant regulatory inefficiencies that have existed. On top of that, it sets a good pathway for us to then build that first plan. But then also, what we expect to see coming from the NRC as part of executive orders there that build on all the work from the advanced act before, are driving a lot of new regulatory, frankly, pathways and development there that bridge from the DOE basically authorization itself. So we're expecting the NRC to fairly soon issue basically their approach, if you will, for converting a DOE authorized and built and operating facility to an NRC licensed facility. And we're in a great spot to be able to go through that and experience what that looks like. That inherently is not like a COLA because you're not getting a license to build and operate the plant. The plant's already built. So it's really a conversion process, which is cool. But they have to do the safety review and they have to reference and leverage everything before. Not only that, but we've also been working to include and loop in the NRC into our basically regulatory review with DOE. So they're seeing how it's done and they're getting experience watching and shadowing those pieces. Which is pretty powerful. And this is a key kind of opportunity to go, I think, faster. It's really, it's hard to overstate the value of focusing on actually moving out of the way of sort of if you think about what a nuclear company historically would have to do, what our product was, if you really looked at it objectively before these opportunities existed. Our first product was really more built towards shipping permitting applications, right, paperwork. Now, because of the DOE authorization approach, it's building while doing that, which allows us to learn and iterate way more quickly. Because naturally, things come up and evolve, and that helps you learn the really hard things that are actually really important to, like, deployment and scale. Now, all that also translates very effectively to what we're going to do with the NRC in Ohio. And I think what's pretty clear is DOE and their approaches and the milestones we've hit with them show that they can do a safety review of surging fast reactors. And they've done a lot of those before because they oversaw the power plants that we build our legacy off of. On top of that, the energy is also shown by recent developments that they've had, including, for example, the construction permit work with TerraPower, that they can do that work as well. And looping them into this and leveraging the experiences and expertise that DOE has, because DOE has done this stuff before, is quite constructive and quite efficient, frankly. So we're waiting to see the new framework from the NRC to start executing down the pathway of preparing to convert a license. But in parallel, we continue to work through effectively developing out the combined license to submit for Ohio. That said, it's very important to also flag something else. Part of the executive order is there's significant regulatory work and rewriting going on that could significantly influence our approach in a constructive and productive way that we would expect to reduce costs and timelines, as well as add additional regulatory confidence and certainty. So that is all a very live situation as we speak, and we're watching eagerly as various things flow out from the NRC on that front. But it's fair to say that that's probably going to be quite constructive, but also have some tweaks, if not more significant changes on our actual regulatory, I'll call it semantic strategy. In other words, we still get an NRC license, but the vehicles by which we might do that um may be a bit different because of what's happening at the nrc uh that said you know we've been preparing and continuing to go through the pathway of pre-application that addresses general and somewhat generic or cross-cutting issues that are important for licensing for us uh and those will set the stage for us to uh actually have you know reference those and whatever application structure takes place going forward from the nrc um again at this point you know we still expect a part 52 combined license But that's just because we haven't seen what the new menu of options are going to look like as well, which we expect to happen over the course of the next few months, and then we'll adapt kind of a strategy from there. But a couple of key things that we see are obviously just having

the experience of going through the Aurora plant in Idaho under DOE authorization, going through the DOE regulatory process, having the NRC part of it, taking an iterative approach, learning by actually building and scaling that, and then applying that outward. On top of that, we're also getting experience from NRC licensing already on the isotope side, having obtained an NRC license now. It's a great win. To your latter part of your question, Nipul, yeah, we did face some delays on that with that license application back in the fall during the shutdown. But now we have the license in hand, and off we go. I don't see any of the other effects that are, you know, frankly, at this point materially affecting our progress on the other activities that we have going on with the NRC and with DOE. But that was definitely something that was noted. And then the last thing I'll just say is one important thing, too, that's very helpful is, you know, in the current frameworks, which may evolve and change a little bit, or frankly a lot, possibly, the approaches with what we're licensing and the work we've been doing on the isotope side, not just the material handling license, but the actual production reactor, like basically the full commercial version of Groves that we've spent some NRC pre-application time with, that has a different pathway than what the commercial Aurora power plant version has. And having the experience that we gained across both of those and what we're gaining on the recycling side and what we've done on fuel fabrication, is very helpful because we see a whole spectrum of different parts of the NRC and can cross-connect best practices and help guide things from our development of an application as well as our engagement with them in the review process. And that helps in many, many ways in terms of some scaling efficiencies and bringing best practices from various business units across. And that's pretty unique for us because we're taking on that broad set of projects. So, yeah, that's kind of the way I'm seeing that landscape evolve and how all this is moving forward.

DIMPLE GASSAI Analyst, Bank of America

Thanks, Jake.

OPERATOR Operator

Your next question comes from the line of George Gianakris with Canaccord Genuity. Please go ahead.

GEORGE GIANAKRIS Analyst, Canaccord Genuity

Hi, Oklahoma team. Thank you so much for taking our questions. You mentioned in the past that about 70% of the aurora powerhouse components are being sourced from non nuclear supply chains, which is, I think you brought to it into the picture. Is there any update on what the 75 megawatt reactor capex should look like in in the not a complete update, maybe any early indication on the dollars per kilowatt there. Thank you.

JAKE DEWITT Co-founder and Chief Executive Officer

Yeah, I mean, I think this is one of the things that's actively evolving from, you know, where we're at in terms of the building cycle and what we're seeing is doable. And also what we're seeing, you know, can be done to either move some timelines to the left and build it faster and pay more to do that or not, right? But generally speaking, speed is a very important thing for us. So that's how we're trying to focus on this. This also gives us a lot of insights into then what we're going to do from a more, I would say, optimized strategy with the Ohio plants that would allow us to scale those according to, you know, what makes the most sense from sort of like the experiences learned from the Idaho plant. So what that's all to say is, you know, we're going to have more information as we continue to get into the actual deeper works beyond some civil and prep works and have some relevant updates that come accordingly as I get deeper into it. But, you know, what we've learned on the procurement side is We've been able to find ways to pull schedule to the left in different ways constructively. We've been able to find ways to look at how some things can be accelerated. But one aspect of that is sometimes it helps the fact that we have the Aurora planes in Ohio coming afterwards because it can maybe accelerate some things here in Idaho to help us with know other components and

other parts and other sourcing uh for scanning those to the other ohio plants and maybe having some benefits that happens that way so um the general view we have is uh it's it's evolving as we go through on this and as we develop and enhance the relationships we have and we look at different angles of attack on the different fronts of what drives costs and what doesn't and some things are um candidly not worth necessarily driving the uh modernization for the first plant that we'd like to see in terms of the actual supply chain and the procurement of it. So we might pay a little bit more to move faster and other things that is worth doing that. It's a bit of a dynamic situation that we're continuing to evolve and look at. At the end of the day, though, like my, you know, my view is like, generally speaking, All of these things can live, like pretty much every part outside of the fuel can live outside of the nuclear conventional supply chain. But I think what's really important is I think that paradigm has actually been sort of inverted as of late, because we're seeing growth in the industry for the first time in a while. So you're actually seeing folks bring forward more disruptive approaches in kind of taking away some of the legacy models and approaches that were driving significant costs and inefficiencies by sort of locking into the status quo across different suppliers in different parts of the entire sort of value chain, if you will. And a pretty cool thing that we're seeing is that we can actually get to be um i don't know a lot more thoughtful engagement from our partners about how to do that and more constructive engagement about knocking out some of the the synthetic like nuclear cost multipliers that have existed before i know i say this a lot but it's hard to overstate the value of modernize of you know of basically taking out some of those nuclear cost multipliers right the quote unquote nuclear idiot index if you will is really really high and uh is right to be changed by changing how we design, how we try to minimize and reduce parts that come in with some of the typical nuclear classifications to them by taking advantage of passive and inherent safety features, but also by modernizing how our suppliers and ourselves actually deliver those plans. But we're finding that there are some places where, you know what, just easier to deal with what's legacy for the Idaho plant to get it up and running because that's more important. But that sets the stage for them how we can actually solve that problem in Ohio because we learned the best practices to do that uh so so it's pretty interesting to see that combo uh sort of evolving and taking shape generally speaking though we're seeing a very different way of engagement across most of the supply chain and not having some of the conventional legacy requirements and what i really mean by that is not being a light water reactor is actually really constructive counterintuitively a value of that is not having to play in the legacy supply chains with the historical cost structures in place there that's actually worth a ton because it gives us a lot more flexibility Because we're not buying light water reactor parts by and large. I mean, yes, there's some similarities, but we're not a light water reactor. So a lot of it's different. And that gives us a lot more flexibility. And it also helps us focus on where do we need to flex into building ourselves? What parts make the most sense to buy to go faster or build ourselves and maybe build ourselves to scale and build ourselves to deconstrain supply chains or build ourselves just to be cheaper? So it's an active, you know, growth aspect of the business, and it's also how we're looking at, you know, not just sort of the capital cost, you know, modeling and data sets, but also the long-term, you know, cost structures of the business and also, like, opportunities in the business.

OPERATOR Operator

Your next question comes from the line of Ryan Fingst with B Reilly Securities. Please go ahead.

RYAN FINGST Analyst, B. Riley Securities

Hey, guys. Thanks for taking my question. Somewhat of a follow up to some of the comments there, Jake. For the agreement with Meta, they ended up choosing two sodium cooled reactor developers following their nuclear RFP process. Can you rehash some of the benefits of your design and why Meta might have chosen it?

JAKE DEWITT Co-founder and Chief Executive Officer

Yeah, I think the answer right now is the fact that we've got You know, I think they see the benefit of certain fast reactor technology between us and TerraPower, right? That's just repeating what you said, but basically, you know, I think that translates across a couple of vectors. One is the technical maturity, something that's vastly underappreciated, even by, you know, a lot of nuclear experts. The fact is, you know, as a society, we've built a lot of these plans. We've learned a lot about what doesn't work and what does work. And in the U.S., notably the experiences we got through EBR2 and FFTF, The ability that those plants had to achieve pretty exciting operational characteristics, both in terms of operating capacity factor, in terms of occupational dose rates, in terms of how to service and run those plants, right? Their operating capacity factors were competitive and exceeded, in many cases, light water plants at the time, which shows a lot of the inherent benefits of the technology itself. And it's the only technology that's really been able to do that. And on top of that, I think there's a clear trajectory on the cost benefits. of sodium being a relatively, you know, materially benign fluid with commonly available seals. In other words, you can use it and it's quite, you know, compatible with stainless alloys. That's great in terms of opening up supply chains and reducing costs and avoiding major cost drivers of very exotic alloys you might need if you didn't have those benefits. And then also not being pressurized and then having the benefits of being able to operate at relatively higher temperatures And then the features that come from that for passive heat rejection through the phenomenal heat transfer characteristics that sodium has, as well as operating at higher temperatures and what you can do to reject heat to air because you're at slightly higher temperatures. So all in all, it translates to a lot of, generally speaking, cost benefits, as well as the strong operational history and high technology readiness. I think those are big features there.

CRAIG BELLMER Chief Financial Officer

Brian, maybe just a couple of ads there. I think, you know, as we continue to emphasize in calls like this, you know, the importance of having multiple field pathways, I think, was another important point of distinction and being able to have proof points against those pathways. And I think another important part on META was, you know, already having a ROFA in place and access to land in Ohio. I think was another important advantage and that we've leveraged that land access even more with, you know, what we could potentially do with Centris.

RYAN FINGST Analyst, B. Riley Securities

Appreciate it, guys.

OPERATOR Operator

Your next question comes from the line of Vikram Begri with Citi. Please go ahead.

VIKRAM BEGRI Analyst, Citi

Hi. Good evening, everyone. I have two questions. I'll ask them together. First, maybe for you, Craig. Can you talk about the timing of Aurora ML? It appears timeline shifted slightly to the right with a change in language from late 27 to early 28. Now it says 2028. Am I reading that right? And what led to the shift in timing? Also, I see it's a 75 megawatt reactor. Can you talk about what the CAPEX requirements for this reactor will be or when you will have a greater clarity into CAPEX requirement And then secondly for you, Jake, I see you conducted a fast spectrum plutonium criticality experiment. Can you share what that entails and your expectation of timing of plutonium allocations that we've been looking forward to? Thank you.

CRAIG BELLMER Chief Financial Officer

Yeah, Vic, you know, in terms of the last bit of your question, you know, I'll take that first, you know, that we're still doing a lot of work, and Jake kind of mentioned this dynamic of challenging, you know, the cost versus the timeline because, Mark Broughton- You know, trying to bring timelines forward could have a cost element to it and we're really

trying to balance both of those pieces, and I think we'll have more information. Mark Broughton- To share around what the cost of that first asset looks like later this year, as well as you know you know how we look to bring costs down on future deployments. And in terms of the timeline, I think I've been pretty consistent in the various investor meetings that I've been in that we're targeting a 2028 timeline. We know it's an aggressive target, but we feel like the industry and our customers are pushing us towards being able to hit those timelines. And it's also, I think, important why we're doing things on projects like growth where we can learn how to bring down capital costs and learn how to bring down project timelines as well.

JAKE DEWITT Co-founder and Chief Executive Officer

I think one thing we saw with the, like what we're having happen with, you know, I think that basically the timeline elements are, as we're putting all these things together, right, like we're, we have a path of being able to start hitting important construction milestones this year, doing some plant commissioning work. but getting the full plan in the nuclear heat production just is going to really happen in 2028, right? And it's just where it's going to be. So I think at this point, we're seeing that lineup to make that kind of the case. We're always looking at different ways that might pull parts of the schedule to the left, and there might be some things that kind of help with that, but a lot of this gets to how we can execute on, you know, building this thing and doing it quickly and moving through learning iterative processes relatively quickly. And I think it's important because we're trying to also make sure we capture lessons learned and not design the fly to implement all those things, but that help us with Ohio. And that's important because it means that the palm plants are going to, you know, obviously show this improvement significantly. And that's a key thing about small reactors, right? The cost and timelines iterations are just way lower. And that's how you really drive learning and scale as we see everywhere. Onto the plutonium front. Yeah, it was pretty cool. We got to partner with Los Alamos National Laboratory and throw out to the Nevada National Security Site. Um, basically what we got to work with was, uh, a small plutonium, like basically metal, uh, assembly that we, uh, used uranium as a reflector and plutonium was the primary fuel and gore and, uh, got to run it through some criticality, basically benchmarks and tests as well as some reactivity measurements, which means you're, uh, actually taking the system, putting some power into it, heating it up a little bit and looking at the thermal expansion and the other effects that cause it to shut itself down naturally. Um, it. important because while a lot of that data has been out there, doing it in this kind of way helped us get more fidelity in certain ranges of particular interests for us relevant to our use, as well as just to enhance our overall models for validation purposes. It was pretty cool because it was really doing that, right? I think we were putting in a couple of kilowatts at most in terms of thermal power, but in a very small system that's literally very small, it matters. And it was able to heat the system up and we got to see all those insanely fast dynamics and responses. I've gotten to spend a little time around like a high and restraining fast reactor system in my past. Uh, but this thing was even faster and how it behaved is very, very like tightly responsive, which was awesome. And the way they ran it was just a pure Testament to like how, you know, robust a small type of coupled fast reactor is in terms of like inherent feedbacks and all those benefits. Um, so that was helpful. We anticipate there's gonna be more work there that just adds more fidelity to basically. TAB, Mark McIntyre:" improve you know reactive performance and reduce some certainties throughout the system that ultimately translate to you know dollars saved or more dollars earned right or both, and then the other part of it is. TAB, Mark McIntyre:" With the plutonium awards you know we're we're expecting those things to kind of progress that other Department of Energy. TAB, Mark McIntyre:" is going through the active kind of reviews of the request for applications they put put out and we're pretty excited about you know our positioning for that, but. Timelines, I think, you know, I think we'll watch it eagerly this quarter coming up, but I think it depends on a couple of factors that are still evolving.

OPERATOR Operator

Your next question comes from the line of Jeffrey Campbell with Seaport Research Partners. Please go ahead.

JEFFREY CAMPBELL Analyst, Seaport Research Partners

Hi, Jake. Hi, Craig. Thanks for taking my questions. My first one is will the deconversion discussions you've noted result in Centris increasing its enrichment capabilities from its current small volumes, or do you envision the deconversion capability as independent of any particular uranium enrichment supplier?

JAKE DEWITT Co-founder and Chief Executive Officer

I mean, from the deconversion technology side that we've worked through and, you know, we've been developing out, it's pretty flexible. I mean, it's based on a, you know, a UF₆ input. And, you know, Try to supply some things we think can help scale and drive costs more effectively at a facility level. So it's pretty flexible. Part of why we explored it with Centris to start is just given the positioning we have in Ohio, the fact we're going to be building a lot of plants right there by where they have it. There's some significant economies of scale of putting deconversion there, as well as potentially fuel fabrication there and the reactors there. You have a pretty cool campus that goes from enrichment to deconversion to fabrication to actual reactors, all in that general area. And in a very attractive market to be in overall. So that's how we see kind of the opportunity on that. I think the space we see is, I think we've got some cool technology pieces. We're eager to explore what that looks like to integrate with theirs, like their facility and their approach. The idea would be, of course, to support their significant growth and expansion. But yeah, we see this as being, you know, broadly suited for any kind of uranium hexafluoride approach. So any of the, I'll call it more conventional centrifuge enrichment approaches When we talk with other enrichers that use uranium hexafluoride for different processes, similar benefit. And then there's some of the other technology developers that are working on, you know, true metal-to-metal kind of enrichment, and obviously you don't need deconversion for that. And for us, that's also great because you can just take the metal right into fabrication. But, you know, it's kind of how we're looking at the landscape.

JEFFREY CAMPBELL Analyst, Seaport Research Partners

My second one is I thought your point about pursuing different licensing pathways was interesting. Specific to fuel and fuel recycling, why did you choose the NRC licensing pathway for Tennessee, and how does this differ from the field facility licensing under DOE at INL?

JAKE DEWITT Co-founder and Chief Executive Officer

Yeah, you know, as we see it, like the DOE INL one set up very well under the, well, first of all, we were going to need to make fuel for the Aurora plant. So a long time ago, we said, where can we do this? And what's the fastest way to do this? And at the time, and as it maintains to be true now, is to use one of their existing buildings and set up the fabrication equipment there. But we want to scale that outward as soon as reasonably possible. And already sitting on a DOE facility, it just makes sense to have that under their kind of purview. So we look at how that can scale given the reactor pilot program and the fuel line production pilot program. In terms of the commercial kind of use case around the recycling, given where that is and it's designed to be a fully commercial facility, like that is something we see as taking an NRC licensing approach. Inevitably, by the way, we've also engaged with the NRC in pre-application of fuel fabrication because at some point we're going to need full commercial fuel fabrication. So that also will end up becoming more uh become nrc licensed but being able to get the repetitions of permitting and regular service site and execution by actually building and operating these things under the authorization just moves faster and the programs were there for the fuel sides uh the nrc sides then we see those converting over to the nrc or at least helping inform where we do go fully with the full nrc license commercial fuel fab facility um and then it's just similar to you know we're just kind of at that stage on the recycling piece already and needed to do a lot more pre-

application work there because, you know, there's more, I would say, fundamental licensing type topics to cover on recycling. And that's why we've been at that for several years now and where we're pretty excited to move into this kind of rolling readiness review after completing the major items we wanted to in the pre-application side. So that's actually part of the story that probably gets maybe a little bit underappreciated, but the progress made on license, NRC licensing for the recycling facility in Tennessee is quite exciting. It's quite staggering actually to see how much work has gone into that and how much progress has been made through a pre-application getting ready for a full application submission. That said, with the DOE life cycles program out, I also, I would not be surprised if there is a pathway that makes sense to pursue Justin Delacruz- Recycling through a do we authorization approach for kind of a pilot facility. Justin Delacruz- that's something we'll evaluate so that makes sense to do if it does make sense, and you know we'll kind of take our lessons learned to go there, while we continue working with the nrc for full commercial scale. Justin Delacruz- But we just see that all these do we pathways allow us to move to first of a kind, more quickly and then better position us for energy licensing and scale.

OPERATOR Operator

Your next question comes from the line of Sameer Joshi with HC Wainwright. Please go ahead.

SAMEER JOSHI Analyst, H.C. Wainwright & Co.

Hey, good afternoon, good evening. Thanks for taking my questions. I just have one on the atomic alchemy growth test reactor. There is roughly three and a half months left for your target criticality on July 4th. there is some amount of construction left and some procurement of auxiliary equipment left. How confident are you that you would meet that deadline?

JAKE DEWITT Co-founder and Chief Executive Officer

Yeah, I mean, this has been a great rallying cry for the company to both, you know, design and build quickly and also learn lessons quickly and very quickly. So all like when you look at how far this has come, TAB, Mark McIntyre, We feel pretty confident that we're going to be able to hit or meet that or hit or beat that date of being able to pull rods and take the system critical you know fields been ordered. TAB, Mark McIntyre, All major items generally been ordered there's still some work about trying to see what we can do to make sure we build ourselves enough buffer time to be able to receive and manage all this, but it's a logistical you know. TAB, Mark McIntyre, effort to time all the permitting steps with the ability to receive the fuel the load the fuel of the equipment on hand find some ways, maybe. you know, accelerate how we can come up with some solutions that allow us to have, you know, the right kind of things that are available now versus maybe what we want to have more commercial scale and have some replaceability for them for certain things on, you know, instrumentation and detection. But that's part of what this feature and this facility is for is it gives us the ability to run it, work with what's available, and then have some flexibility to pivot those things in. But you look at how far this has come by going from a bare field to TAB, Mark McIntyre:" excavation to putting the concrete and the foundation putting in the vessel loading that building up a structure having other major items in order. TAB, Mark McIntyre:" And getting stuff ready to be received and involved like it's pretty exciting other talking together, so we feel very good about that. TAB, Mark McIntyre:" challenge it's not going to be easy, but we feel very good about the position we have and I constantly trying to say. TAB, Mark McIntyre:" I can we make sure we can move faster and do better and what's interesting to is like. There are going to be some other companies that are going to achieve criticality before that date, probably, which is very exciting. Because again, what I said is it shows there's a spectrum of solutions they're going to deliver on that. What's great about this one is it includes real civil works. And some of these other ones are just a different scale, so they don't quite have that same effort. Or they're maybe using pre-existing prefabricated fuel from DOE facilities or inventories and other things that allow you to hit that criticality milestone, which is awesome. It's really important. But like part of what we've learned

on this process is, and with Grove, that's so exciting to me is, you know, it's a full design build that wasn't using pre-existing stuff, right? Like, I mean, yes, there's some things that are on inventory and shelves from our suppliers, but it's not like we're trying to, we're not using fuel that was already made by somebody else and sitting on some DOE, you know, warehouse or something like that. Like the whole thing has gone through from pretty much from scratch. And that's a pretty powerful story and us and our ability to actually build and deliver that and execute and building something that fast that's actually going to make real new drones, it's going to be pretty dang cool.

SAMEER JOSHI Analyst, H.C. Wainwright & Co.

Understood. Thanks. Good luck. Thank you.

OPERATOR Operator

Your next question comes from the line of Sharice L. Magrabi with BTIG. Please go ahead.

SHARICE L. MAGRABI Analyst, BTIG

Hi. Thank you. Just one for me today. Craig mentioned the fact that you had land in Ohio help win the deal with META. And I believe you got that land from an economic or with help from an economic development council in the state. So can you speak to why they saw Aurora powerhouses as an attractive use for the land? And do you see similar opportunities in other states?

RYAN FINGST Analyst, B. Riley Securities

Yeah, this is like, this is, I love this question.

JAKE DEWITT Co-founder and Chief Executive Officer

This goes back to Mike's. strategic vision that I think Caroline, my co-founder, saw here and some of the rest of our team saw with respect to these opportunities of taking federal land resources that were being sort of cleaned up and made available and repurposed for economic development. And so there was a great position for that. If you're not familiar with the site, it's home to one of the largest enrichment plants in the whole world. incredible feat of industrial might and strength. But as that plant was retired and they're looking at repurchasing a lot of that land, it became an opportunity for saying, hey, there's a lot of infrastructure here that would make sense to build into. We should do this. And so back, you know, before chat GPT, before kind of this recognition of an inflection point coming on power needs, we saw that, hey, there could be some opportunities to set some power plants there. We're going to need fuel from Centris. So, you know, we announced several years ago, a relationship with them to potentially sell them power and be able to build some infrastructure there, including the power plants. And so we started working with them to do that and had that vision. And then all of a sudden, all these dynamics start to come together very attractively, all in a relatively short order. But we had found that position as a really useful thing to have. Along the way of doing that, we also learned the exact thing you're asking, which is there's actually some good opportunities if we do that in the right ways. strategically at the right time and other sites. And so, yes, that is a thing we're doing. Like, I think, I think I alluded to earlier in the calls, what we're, everything we need to do to deliver power to customers is illuminating things and opportunities for us to do, you know, in some ways more, in many ways more, and do it more efficiently and cost-effectively by doing it ourselves and sort of leveraging outside. So instead of working with others who have the land, developing the land ourselves or partnering with folks to develop the land together, and bringing power to is pretty important, you know, differentiation for us. So we're pretty excited about like the opportunities we see around that. And by being, you know, because of our business model, we have to solve those things. So it's important because then we're forced to solve the really tricky things that actually make deployment hard, which isn't always just the building of the reactor, it's all the stuff around it. So our, you know, our insights on that are actually allowing us to

create a lot of value by doing those things. So yes, we see that and we see other opportunities that are pretty exciting. And what they saw with us was, They wanted nuclear in the area because they had a strong history of nuclear. They wanted economic growth because they had a lot of jobs that were in the area for that, but were then being phased out as decommissioning was kind of progressing. And we were well positioned to support some of that. Now we're going even bigger there. So there's a lot of opportunity that's going to come because of that. And I think they also saw that, like, you know, from obviously I'm interpreting my opinions of them and they're the best ones to ask directly. But like they also saw that we were you know, like building power and infrastructure is great because it creates halo effects. And again, this was pre the whole data center boom, but it creates halo effects for other industries. And obviously data centers get a lot of that attention now, but I think that's what they saw. If you build, if you have some power plants come in here, you're going to probably have some other opportunities that come with that. So that's, I think, what they saw, how we saw it.

OPERATOR Operator

Your next question comes from the line of Eric Stein with Craig Hallam. Please go ahead.

ERIC STEIN Analyst, Craig Hallam

Hi, everyone. So obviously the META agreement quite important and it does create that mechanism for prepayment, but also I would assume predicated on a firm PPA. So, you know, just curious progress there. And you mentioned that other potential customers may want to follow this model. So maybe just talk about or characterize the PPA discussions with other potential customers.

JAKE DEWITT Co-founder and Chief Executive Officer

Um, yeah, I guess like the way I kind of think of it is we, um, you know, this is one of the cool things about, you know, how we look at the landscape with, with, with what we've tried to position ourselves in through, you know, power is a massive need for a lot of folks and our ability to work with meta, uh, was, you know, we, we positioned and structured so that like, you know, Hey, they want us to be successful. We want to be successful. We also need to make sure. And just like they do kind of that we have the opportunity to work with you know, different potential partners in different areas and in different ways. And the way we try to structure that agreement allows us to have the ability to, you know, obviously prioritize where we are in Ohio with them, but also provides opportunities for them to either work with us or others to work with us on either growing there or around there or on other sites. And so overall, like, I think what we see is, I mean, we're seeing the inbound And the focus on actual structure, now that we have an example of it, really kind of changed in a constructive way. So we're really talking about like meaningful binding off takes that emulate similar dynamics to it, that have a structure that looked like prepayment that allow us to drive project certainty, but also allow us to make sure we're working with partners that are committed to sort of success here for us and have the right understanding and the right sort of, I'll call it grace built into how they're going to work with us. as well as commitment, and that's pretty important. And we're finding, you know, we found that, like, I think the tone and the tenor and the approach and the conversations we've had has focused into the major players that are going to be the right ones to kind of look at there and has kind of accelerated the conversation since announcing that deal. So we feel pretty, I think I feel personally quite excited about how this sets the stage for, you know, how we're going to work with both meta and potentially others as they come to the table. But we don't see a shortage of need or appetite. I mean, there's way more opportunities. It's just a huge number of opportunities. But this does allow us to have a framework that helps us really know who and how to prioritize and who's going to come to the table with the right things that kind of show that commitment as a partner to help us actually execute successfully. I hope that kind of answers the question. I don't know, Craig, if you want to add anything to that.

CRAIG BELLMER Chief Financial Officer

No, I don't like that.

ERIC STEIN Analyst, Craig Hallam

Okay, and just so on that, I mean, so next step then would be to see a firm PPA with META. I mean, is that the right way to think about this here? With that mechanism now in place, and as an example, whether it's with META or someone else, it would be a firm PPA just to kind of move this area, this development potentially in Southern Ohio forward.

JAKE DEWITT Co-founder and Chief Executive Officer

Yeah, I'd be kind of clear. I think this is a binding commitment to provide power from us and for them to buy power from us. So what we see is this sets the stage to then get into the actual execution on the pre-procurement, on the long list of the items, run fuel and some other items, as well as inserting the project into those stages. But then, yeah, convert over to the PPA. I know we've been saying this for a long time, The approach we've been taking with customers is not to rush to PPA, but find better binding offtake structures. And this is very much what we had in mind because, you know, over-defining the PPA now isn't the right answer versus having the binding commitment that allows us to scale into the right kind of PPA structure after this goes forward. And that's a very important like point of kind of. I guess, or differentiation because of what this allows us to do to define that as we work through this with them. So yes, looking out over the next year or so, I imagine that's where we'll kind of see the PPA come together. But I mean, part of that is the timelines are going to evolve a little bit based on exactly specific needsets and how to best structure this. But at the end of the day, that's what's important here is that this is a binding outtake. and a binding agreement to support that.

CRAIG BELLMER Chief Financial Officer

And Jake, I would just add it's, you know, trying to progress both the asset deployment plans in lockstep with the commercial discussions on the PPA so we can make sure that we get the right asset level returns. But clearly, you know, the lock-in elements that Jake mentioned that we have with Meta, you know, really becomes an important enabler for the projects we intend to do in Ohio.

OPERATOR Operator

Your next question comes from the line of Derek Soderberg with Cantor Fitzgerald. Please go ahead.

DEREK SODERBERG Analyst, Cantor Fitzgerald

Yeah. Hey, guys. Just one for me. Jake, you know, government policy and the regulatory environment broadly has been pretty supportive. You know, I'm wondering, based on your ongoing conversations with the DOE, the NRC, do you expect any new government programs or regulatory changes this year that potentially could help you guys accelerate your plans even faster? Thanks.

JAKE DEWITT Co-founder and Chief Executive Officer

Yeah, I think what we see is the government's like, I mean, I kind of gave a very long ranting answer to Dimble earlier on this similarly, but like we do expect there to be additional, you know, like federal action that's continuing to be supportive and trying to find different ways to help accelerate around this. I think the nuclear life cycles initiative is an important one. Like, I think that's pretty also significantly underappreciated, but it's basically setting the stage for very significant, you know, federal commitment to, you know, states that are focused on addressing the back end of the nucleotide cycle and the natural economic development kind of approach to doing so is going to be anchored around recycling. So we're pretty excited about how that looks and what the benefits are going to be that trickle out from

that. Additionally, you know, from the executive orders, there's continuing to be significant activity around the NRC and kind of, let's say, reform and modernization work at the NRC that includes a significant amount of work going into, you know, modernizing and updating the regular, like basically the suite of regulations there. And we're seeing some of that sort of trickle outward, but we know there's a lot more coming. And I think that's going to play out across I mean, from what we can tell, like everything, which is generally, I think, a pretty dang good thing. So we expect there to be added clarity, enhanced schedule certainty, reduced timelines, reduced costs across the board around a whole bunch of different relevant things for us. And given we have so many projects and given we're doing so many things across the space because of the opportunity of integrating these things, we see that those line up really favorably for for us to benefit from those. And in some ways, being agile and nimble like we are gives us a better pathway to take advantage of those than if we had had a license application in already. I know it sounds kind of funny, but that's kind of how we see the space.

OPERATOR Operator

We have time for one more question, and that question comes from the line of Craig Scherer with Toohey Brothers. Please go ahead.

CRAIG SCHERER Analyst, Toohey Brothers

Hi. Thanks for fitting me in. So on Brian's CapEx question in the 2027, Craig, you seem to suggest the investment spend could continue at 2026 levels. Depending on approvals and partner capital, is it possible to see a further stair-stepping into next year? And given what seems like \$2.5 billion of pro forma cash and investments, including the January ATM you hit, is it reasonable to say that's sufficient to carry you through at least to next year? And finally, do you have enough fuel for that 75 megawatts at INL?

CRAIG BELLMER Chief Financial Officer

So I'll let Jake answer the last question, but, you know, we're very well capitalized for 2026 and beyond. But, you know, and I think as we've talked about in earlier conversations, you know, the one thing we've not yet been able to execute on, but it's definitely part of our overall long-term capitalization strategy is what we might be able to do at what I would call the asset level financing approach. So things like project financing, And in terms of the level of spend, you know, I think one thing that Jake's taught two and a half years at Oklo is expect the unexpected, because I think we see more opportunities ahead of us than we did this time last year. But I do think what's going to happen in the years ahead is I think kind of the nature of the spend will change in terms of you know, seeing, you know, more as our projects progress, especially in the fuel space. And we talked a lot about recycling. You know, I can see that kind of the split of the capital changing over time, which is also why I think it's important that we've been able to demonstrate an ability to raise capital, you know, in the capital markets. And we've got, you know, other levers at our disposal in the future, which would be, you know, project financing. You know, we're having discussions with the energy, with EDF, which used to be the loan program office, you know, and we definitely make sure that the the Treasury team under Graham Johnson's leadership is always kind of on top of the next thing, and I'm really proud of what the team achieved in 2025.

OPERATOR Operator

That concludes our question and answer session. I would now like to turn the conference back over to Jake DeWitt, co-founder and chief executive officer, for closing comments.

JAKE DEWITT Co-founder and Chief Executive Officer

Thank you, and thank you all for joining us today as we get into kind of the opportunities with basically updates and all these opportunities that we're leaning into and executing against. 2025 was a pretty exciting year. It wrapped in a pretty high note and hit off to a really good start this quarter that we're currently in based on some of the milestones we talked about hitting with the meta announcement, for example. I think as we continue to scale into building and execution, we are postured as a very, I think, you know, strong position to learn through doing and something that has not been in the nuclear ecosystem in meaningful ways, largely since kind of the 1960s, I would contend. And so very exciting time for the space, very exciting time to see all sorts of new things be learned in a modern context. including how to best design and build and deploy and scale across the ecosystem. Given our positioning and our posture and our business model, we're also uniquely suited to learn a lot about where the opportunities are for us to lean into both in terms of where we can create value, whether we build things ourselves, whether we acquire, merge, or buy companies, or just partner with folks to buy sourcing or supplies from them or material from them. It gives us a lot of good insights about how to actually execute here That's the key thing, though. What we're solving for is broad, scaled nuclear execution, which really translates to how we can build, how we can license, we can operate, how we can source and supply in-house, do all the things we need to do to actually do what we're trying to achieve. We're also really excited by the progress we've made on the isotope side. We've shown we can obtain an NRC license. We've shown we can execute against the authorization across multiple lines. And we've shown that we can also build a real physical asset, a real reactor in incredible timelines and also internalize all those lessons learned, the things we've learned that are hard, the things we've learned that are easier, the things that didn't work and the things that do work and help apply those to where we go forward and aim for turning that reactor on by July 4th, which will be a really exciting milestone for us. So with that, I'll go ahead and say thank you again for everyone who joined and look forward to the next quarterly update. Thank you all.

OPERATOR Operator

Ladies and gentlemen, this does conclude today's conference call. Thank you all for joining, and you may now disconnect.